HM Revenue & Customs

**Customer Compliance Complaints**
**HM Revenue and Customs**
BX9 2AB

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**Date** 7 November 2025
**Our Ref** 0244917/1/Tier 1

Dear Mr Howells

Thank you for your complaint about your company Konnektis Communications Ltd's (KCL) Research and Development (R&D) claims, which we received from the Rt Hon Rishi Sunak MP on 14 October 2025.

Please note that we will reply to you about our Debt Management Extra Support service and deal with your Subject Access Request and redress request separately.

We operate a two-tier complaints process, and I am considering your complaint at tier one. Further information can be found online at www.gov.uk/complain-about-hmrc.

**Your Complaint**

You say that we were made aware by your agent of your health concerns from June 2022, which affected your ability to meet tax obligations. The agent requested additional time for you to submit your 2020 R&D claim, which we did not respond to. You say your company have applied for and been granted R&D claims before.

You are also unhappy that we rejected your R&D claim for 2021 in November 2022. We sent you a letter saying it was flagged as potentially fraudulent but that you could contest it.

You believe we did not take your mental and physical health into consideration, and that the aggressive nature of our letter had a significant detrimental impact on you. You ask that we review your R&D claims.

**My Role**

As a Complaint Investigator, it is my responsibility to examine the handling of our compliance activities to ensure that we have acted within the relevant legislation and in accordance with our instructions and guidance, including customer service levels.

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I cannot decide matters where a clear right of appeal exists. Nor can I intervene in any technical issues or dictate what actions a business unit must take, as this is their decision.

**My Decision**

I have investigated your concerns, and I cannot uphold your complaint regarding you R&D claims for KCL. I understand this may be disappointing for you. I will explain my reasoning below.

**My Consideration**

I am sorry to hear that you have been unwell and that we did not reply to yours and your agent's correspondence about the company's R&D claims.

We received KCL's Corporation Tax (CT) return for the period ending 31 March 2020 on 10 December 2020, which did not include a claim for R&D tax relief. On 1 July 2022, we received a letter from your agent which said that you were unwell and asked if we would extend the deadline for a R&D claim for the above period. We should have responded to say that we cannot extend a statutory deadline.

On 10 October 2022, we received KCL's amended CT return for a later period ending 31 March 2021, which included an R&D tax credit claim of £22,188.19. We wrote to KCL on 10 November 2022 to say that we had blocked payment as we believed the claim may be potentially fraudulent. We asked your company to send us more information by 10 December 2022. We said that we would remove the R&D claim if we did not receive the information, under the provisions of Schedule 18, Paragraph 16 (4) of the Finance Act 1998.

On 9 December 2022, you told us that you reserved the right to provide more information until 31 March 2023. As we did not receive the information we asked for in our letter of 10 November, we amended the return to remove the R&D claim. We advised KCL about this on 10 December 2022. We said you could amend the return and resubmit an R&D claim if you disagreed. We did not receive an amended return.

CT, and R&D claims as part of it, are self-assessed, and businesses are responsible for the accuracy of their submissions. We may check CT returns, and the R&D claims within them, to make sure that any relief or claim for a credit is due. The absence of an enquiry in previous years or payment of a tax credit does not mean that we have approved the claims.

Concern over non-compliance in R&D tax reliefs has grown in recent years and we need to make sure that companies who are eligible for these reliefs can access them while protecting customers money from ineligible claims.

In October 2024, we published an update to our approach to R&D tax reliefs setting out our analysis of the scale and shape of non-compliance in R&D tax relief claims in recent years. You can find more information about our current approach to R&D tax reliefs at: www.gov.uk/government/publications/hmrcs-approach-to-research-and-development-tax-reliefs-2023-to-2024/approach-to-research-and-development-tax-reliefs-2023-to-2024.

The time limit for submitting an R&D tax relief claim mirrors the time limit for submitting a CT return. Companies should submit their claim within 12 months following the end of the accounting period and make any amendments within a further 12 months. Claims outside of these timescales are deemed to be out of time. You can find more information about this at www.gov.uk/hmrc-internal-manuals/company-taxation-manual/ctm93330.

Our Statement of Practice SP5/01 outlines how we handle late claims. Paragraph 83E (2) Schedule 18 of the Finance Act 1998 sets out our discretionary power to look at late claims; for example, when a company makes a late claim for reasons outside of their control. Please be aware that our discretionary powers in these circumstances are limited.

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You can still send us a late claim for R&D for both periods if you wish. You can see more about the late claims process and our approach at: www.gov.uk/government/publications/statement-of-practice-5-2001/statement-of-practice-5-2001.

**Conclusion**

This concludes my investigation of your complaint.

If you disagree with the outcome of this investigation, you can ask for your complaint to be looked at a second time. This is called a tier two complaint and involves a different investigator considering the information you have provided; however, it is not guaranteed there will be a different outcome.

If you wish to have your complaint investigated again, you can:

- contact us online, go to www.gov.uk and search for "Complain about HMRC"
- or write to me at the above address.

**Data Protection**

Please go to www.gov.uk and search 'HMRC Privacy Notice' for further details about how we collect, use, protect and secure your personal information. Your feedback will help us to improve further customer interactions. We will keep your responses securely and they will never affect your dealings with HMRC.

Please note that our new address is Customer Compliance Complaints, HM Revenue and Customs, BX9 2AB. If you write to us but do not use this address then we may not get your post.

Yours sincerely

**Christopher Munroe**
Ministerial Complaint Investigator

Join the millions of taxpayers already using their Personal Tax Account to access a range of services. It takes just a few minutes to get started, go to www.gov.uk/personal-tax-account Or you can use the HMRC app.

To find out about the service and standard of behaviour you can expect from us, go to GOV.UK and search 'HMRC Charter'.

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